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No. 00-1595

Supreme Court, U.S.
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In The

Supreme Court of the United States

HOFFMAN PLASTIC COMPOUNDS, INC.,

Petitioner,

v.

NATIONAL LABOR RELATIONS BOARD,

Respondent.

On Writ of Certiorari To The United States Court of Appeals
For The District of Columbia Circuit

BRIEF OF PETITIONER

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38 pp

QUESTION PRESENTED FOR REVIEW

Whether an undocumented alien who—without his employer's knowledge—obtained employment by presenting fraudulent immigration documents, is entitled to backpay as compensation for a violation of the National Labor Relations Act if the undocumented alien never was legally present or legally authorized to work in the United States during the backpay period.

LIST OF INTERESTED PARTIES

The following is a complete list of all parties with an interest in the outcome of this litigation. There are no other parties or subsidiary companies that are required to be listed pursuant to Supreme Court Rule 29.6:

Petitioner herein:

Hoffman Plastic Compounds, Inc.

Respondents herein:

National Labor Relations Board

Victoria E. Aguayo, Regional Director, Region 21, NLRB

Amicus Curiae below:

AFL-CIO

Other Interested Parties:

Samuel Perez (aka Jose Castro)

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JURISDICTION

The jurisdiction of this Court is invoked under 28 U.S.C. § 1254. (App. 98a).

STATUTES INVOLVED IN THIS CASE

8 U.S.C. § 1324a (App. 99a).

8 U.S.C. § 1324c (App. 102a).

18 U.S.C. § 1546 (App. 103a).

29 U.S.C. § 160(c) (A1).

STATEMENT OF THE CASE

Hoffman Plastic Compounds, Inc. ("Hoffman") manufactures polyvinyl chloride pellets at its facility in Paramount, California. (App. 5a). In May 1988, Hoffman hired an employee that it knew only as "Jose Castro" to work as a compounder in its Paramount facility. (App. 5a, 92a-94a). On January 31, 1989, Hoffman laid off several

employees, including Castro. (App. 89a). The NLRB later determined that the layoff of these employees violated the National Labor Relations Act ("NLRA") and ordered Hoffman to cease and desist from further violations, offer reinstatement to each of the employees and make them whole for any losses they incurred, and post a notice regarding the remedial order. (App. 88a); *Hoffman Plastic Compounds, Inc.*, 306 N.L.R.B. 100 (1992). Thereafter, a dispute arose regarding the proper computation of backpay and the NLRB convened a compliance proceeding. (App. 88a).

On June 14, 1993, Castro appeared before an administrative law judge to testify at the Board's compliance proceeding. (App. 79a, 92a). There, Castro falsely testified that "Jose Castro" was his true name. (App. 79a-80a, 92a; Petitioner Hoffman Plastic Compounds, Inc.'s Petition for Rehearing En Banc p. 2, n.1 (filed May 1, 2000)). Then, he admitted that he was born in Mexico and used a friend's birth certificate and a false driver's license and false social security card to obtain employment at Hoffman. (App. 92a).

In November 1993, the administrative law judge issued his decision regarding backpay for Castro. (App. 88a, 95a).[1] With respect to the facts of the case, the ALJ determined that: (1) Castro used a fraudulent birth certificate for immigration purposes; (2) Castro used this false

[1] The ALJ also considered whether another employee, Moises Gonzales, was entitled to backpay. Because there was no evidence suggesting that Gonzales was an undocumented worker, the ALJ awarded Gonzales backpay from the date of his discharge until the date that he failed to appear for work after receiving a valid offer of reinstatement. (App. 91a, 95a). The ALJ also approved settlements between Hoffman and the NLRB regarding the backpay claims of Mauricio Mejia and Casimiro Arauz (App. 88a).

identification to obtain employment in the United States; (3) prior to the compliance proceeding, Hoffman had no knowledge that Castro was not lawfully authorized to work in this country; and (4) prior to the compliance proceeding, Castro never attempted to become legally authorized to work in the United States. (App. 92a-94a).

In considering whether Castro was entitled to backpay, the ALJ examined this Court's holding in *Sure-Tan v. NLRB*, 467 U.S. 883 (1984) and the Immigration Reform and Control Act of 1986 ("IRCA"). (App. 92a-94a). The ALJ determined that Hoffman had complied with IRCA and concluded that Castro was not entitled to either reinstatement or backpay because, under *Sure-Tan*, backpay is "tolled during any period when a discriminatee is not lawfully authorized to work in this country" and Castro never was lawfully authorized to work during the backpay period. (App. 92a-94a).

Nearly five years later, the NLRB reversed the ALJ's decision.[2] On September 23, 1998, two members of a three-

[2] The ALJ's decision regarding backpay for Castro initially came before the Board for review on July 29, 1994. *Hoffman Plastic Compounds, Inc.*, 314 N.L.R.B. 683 (1994). The Board stated:

> "We have carefully reviewed the judge's decision with respect to the remedial obligation owed by the Respondent to discriminatee Jose Castro and find that this issue merits further consideration. Accordingly, the portion of the judge's recommended Order with respect to Castro is severed and is subject to further consideration by the Board."

314 N.L.R.B. 683, n.1. Inexplicably, the Board waited more than four years to reach any decision regarding backpay for Castro.

member Board panel[3] decided that, notwithstanding the plain language of *Sure-Tan*, Castro was entitled to backpay from the date of his layoff until June 14, 1993, when Hoffman first learned that Castro used fraudulent identification to obtain employment. (App. 85a-87a). Thus, the Board awarded Castro more than four years' backpay even though he never was legally present or entitled to work in the United States during the backpay period.

On December 2, 1998, Hoffman filed a Petition for Review of the Board's decision with the United States Court of Appeals for the District of Columbia Circuit, which had jurisdiction pursuant to 29 U.S.C. § 160(f). (Jt. App. 1). The NLRB subsequently filed a cross-application for the enforcement of its order. (Jt. App. 2). The Court of Appeals rendered its initial decision on March 17, 2000. (App. 37a). In a 2-1 decision, the Court of Appeals affirmed the NLRB's backpay award to Castro. (App. 37a-77a).

Hoffman timely filed a Petition for Rehearing En Banc. (Jt. App. 6). The Court of Appeals granted that petition and vacated its earlier order. (App. 96a). On January 16, 2001, the Court of Appeals issued another divided opinion. (App. 1a). In a 5-4 decision, the Court of Appeals again narrowly affirmed the NLRB's backpay award. (App. 1a-36a).[4]

[3] The third member dissented, stating that *Sure-Tan* and IRCA precluded an award of backpay to Castro. (App. 87a).

[4] Judges Sentelle, Ginsburg, Henderson and Randolph dissented.

Hoffman filed a Petition for Writ of Certiorari with this Court on April 16, 2001. This Court granted the petition on September 25, 2001.

SUMMARY OF ARGUMENT

Jose Castro entered this country illegally. He committed another illegal act when he obtained employment at Hoffman by presenting fraudulent immigration documents. And, he compounded his prior unlawful acts by remaining in this country illegally for at least four years following his discharge from Hoffman and by lying under oath about his true identity. Thereafter, the NLRB rewarded Castro for his illegal conduct by awarding him more than four years of backpay.

The issue before the Court in this case is whether the NLRB acted properly in awarding Castro, an admitted illegal alien, backpay under the NLRA when he never was legally present or legally authorized to work in this country during the backpay period. To resolve this issue, the Court need look no further than its own precedent, which the NLRB and the D.C. Circuit ignored in this case, and the Second and Ninth Circuits have ignored in similar cases.

In *Sure-Tan v. NLRB*, 467 U.S. 883 (1984), this Court directed the National Labor Relations Board that, when considering backpay for an undocumented alien, "the employee[] must be deemed 'unavailable' for work (and the accrual of backpay therefore tolled) during any period when [the employee was] not lawfully entitled to be present and employed in the United States." *Id.* at 903. By affirming the NLRB's award of backpay to Castro, the D.C. Circuit disregarded this Court's instruction in *Sure-Tan*. As the NLRB itself has previously advocated, *Sure-Tan* stands for

the proposition that a worker who is not both lawfully present and legally authorized to obtain work in the United States may not receive backpay as compensation for a violation of the NLRA.[5] The D.C. Circuit's refusal to follow *Sure-Tan's* instruction requires reversal.

In affirming the Board's backpay award to Castro, the D.C. Circuit also disregarded this country's immigration laws and policies. With the passage of the Immigration Reform and Control Act ("IRCA") in 1986, Congress made it unlawful for employers to knowingly hire undocumented aliens and reaffirmed that undocumented aliens who use fraudulent documentation to obtain employment in this country do so illegally. Since the passage of IRCA, no other court has required an employer who hired an undocumented alien without any knowledge of the alien's undocumented status to compensate that undocumented alien with backpay for a violation of the NLRA. By awarding backpay to Castro in contravention of IRCA, the D.C. Circuit erred and its order must be reversed.

[5] *Local 512, Warehouse & Office Workers' Union v. NLRB*, 795 F.2d 705, 716 (9th Cir. 1986) ("[T]he NLRB interpreted this last statement by the Court to mean that an undocumented alien would *never* be entitled to backpay....") (emphasis in original).

ARGUMENT

I. *Sure-Tan* Conclusively Prohibits An Award Of Backpay To Undocumented Aliens Like Castro

A. *Sure-Tan v. NLRB*

Whether undocumented aliens may recover backpay as compensation for an unlawful discharge was first addressed by this Court in *Sure-Tan, Inc. v. NLRB*, 467 U.S. 883 (1984). In *Sure-Tan*, after a union was elected as the employees' collective bargaining representative and in an apparent attempt to invalidate the election, the employer alerted the Immigration and Naturalization Service ("INS") that several of its employees might be undocumented aliens. 467 U.S. at 886-87. The INS investigated and determined that several of Sure-Tan's employees were "living and working illegally in the United States . . . ." *Id.* at 887. Upon threat of deportation, these employees voluntarily left the country. *Id.* The NLRB later concluded that Sure-Tan's report to the INS constituted an unfair labor practice and issued a cease and desist order. *Id.* at 887-88. The Board declined to issue a reinstatement and backpay order, however, because the Board could not determine whether the employees had legally reentered the country and because the Board had no evidence regarding the employees' legal availability to work during the traditional backpay period. *Id.* at 889.

On appeal, the Seventh Circuit modified the Board's remedial order. *Id.* at 889-90. The Seventh Circuit held that Sure-Tan was required to reinstate the employees once the employees were legally present and free to work in the United States. *Id.* at 889. With respect to backpay, the Seventh Circuit opined that the discharged employees

should be deemed unavailable for work during any period when they were not legally entitled to be present and employed in the United States. *Id.* at 890. Recognizing that the employees would likely be entitled to no backpay under this standard, however, the Court of Appeals suggested that the Board order Sure-Tan to pay six months of backpay to each employee. *Id.* The Board agreed. *Id.* Accordingly, the final order approved by the Seventh Circuit awarded six months of backpay to each affected employee. *Id.*

This Court reversed the Seventh Circuit's remedial order. *Id.* at 898-906. In considering the remedy to which the undocumented aliens might be entitled, this Court held that the Board's traditional remedies of reinstatement and backpay "must be conditioned upon the employee's legal readmittance to the United States." *Id.* at 902-03. Indeed, this Court cautioned that in assessing remedies under the NLRA, "the Board is obliged to take into account another equally important congressional objective—to wit, the objective of deterring unauthorized immigration that is embodied in the [Immigration and Nationality Act]." *Id.* at 903. Given these competing objectives, the Court held that, with respect to backpay, "the employees must be deemed *'unavailable' for work (and the accrual of backpay therefore tolled) during any period when they were not lawfully entitled to be present and employed in the United States.*" *Id.* (emphasis added).

In so holding, this Court recognized that the discharged employees would very likely be left without any remedy whatsoever:

> "We share the Court of Appeals' uncertainty concerning whether any of the discharged employees will be able either to enter the country lawfully to accept the reinstatement offers or to establish at the compliance proceedings that they were lawfully available for employment during the backpay period. The probable unavailability of the Act's more effective remedies in light of the practical workings of the immigration laws, however, simply cannot justify the judicial arrogation of remedial authority not fairly encompassed within the Act."

Id. at 904.

As the foregoing discussion demonstrates, *Sure-Tan* conclusively prohibited the Board from awarding backpay to undocumented aliens who were not legally present and entitled to work during the backpay period. The Board has previously accepted, without question, that this was the holding of the Court. *Local 512, Warehouse & Office Workers' Union v. NLRB*, 795 F.2d 705, 716 (9th Cir. 1986) ("[T]he NLRB interpreted this last statement by the Court to mean that an undocumented alien would *never* be entitled to backpay....")(emphasis in original). And, even *Sure-Tan's* critics agreed that this was the Court's holding. *See Sure-Tan*, 467 U.S. at 912 (J. Brennan, dissenting) (referring to "the Court's decision to restrict drastically the remedies available to undocumented alien employees").[6] The D.C. Circuit's

[6] *See also, Hoffman Plastic Compounds, Inc. v. NLRB*, 237 F.3d 639, 655 (D.C. Cir. 2001) (J. Sentelle, dissenting) (quoting Terry A. Bethel, Recent Labor Law Decisions of the Supreme Court, 45 Md. L. Rev. 179, 196 (1986) ("*Sure-Tan* ... deprive[s] undocumented employees of any effective remedy for unlawful discrimination

approval of a backpay award to Castro completely ignores this Court's holding in *Sure-Tan.*

B. The District of Columbia Court of Appeals Erred by Refusing to Adhere to This Court's Holding in *Sure-Tan*

Despite this Court's clear and unequivocal holding in *Sure-Tan,* the District of Columbia Court of Appeals refused to apply it in this case. Here, it is undisputed that Castro entered the United States illegally and illegally obtained employment at Hoffman by using a fraudulent birth certificate. It also is undisputed that Castro never was legally present or legally authorized to work in the United States during the backpay period. The outcome in this case is, therefore, controlled by this Court's words in *Sure-Tan*—backpay must be "tolled" during "any period when the undocumented worker [is] not lawfully entitled to be legally present and employed in the United States." Because Castro was neither lawfully present nor lawfully entitled to employment during the backpay period, *Sure-Tan* requires that he be denied backpay.

The D.C. Circuit agreed that, "[r]ead literally," *Sure-Tan* stands for the proposition that an undocumented alien who is not legally present or legally entitled to employment is not entitled to backpay. *Hoffman Plastic Compounds, Inc. v. NLRB,* 237 F.3d 639, 642 (D.C. Cir. 2001). However, the

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...."); Lucinda M. Cardinal, Note, *Immigration Reform: Solving the "Problem" of the Illegal Alien in the American Workforce,* 7 Cardozo L. Rev. 223, 224 (1985) ("*Sure-Tan* mandates that illegal aliens do not receive the remedies granted their legal coworkers."); John W. Sagaser, Note, *Rights Without A Remedy – Illegal Aliens Under the National Labor Relations Act,* 27 B.C. L. Rev. 407, 452 (1986) ("By denying a minimum backpay award, the Court in effect deprives illegal alien workers of any remedy.")).

majority maintains that it is not restricted by this proposition.

Indeed, the majority contends that rather than barring backpay to undocumented aliens, "[p]roperly understood, *Sure-Tan* supports backpay awards to undocumented discriminatees ...." *Id.* at 640.

To understand *Sure-Tan* in such a way, however, the majority is forced to weave a web of complicated theories, which twist *Sure-Tan's* language beyond comprehension. This complicated re-construction of *Sure-Tan* begins with the majority's erroneous conclusion that the crucial sentence—"the employees must be deemed unavailable for work (and the accrual of backpay therefore tolled) during any period when they were not lawfully entitled to be present and employed in the United States"—did not address any issue before the *Sure-Tan* Court. *Id.* at 642. The majority states that this language, "form[s] no part of *Sure-Tan's* holding or reasoning," *Id.* at 644, and is "hardly ... dictum." *Id.* at 642. The majority's conclusion boggles the mind. In a concise sentence, the *Sure-Tan* Court made it perfectly clear that backpay was indeed an issue before it. Even the majority acknowledges that this Court in *Sure-Tan* was faced with an issue regarding the "minimum backpay award." *Id.* at 643.

To further justify its departure from *Sure-Tan,* the majority contends that the Court in *Sure-Tan* did not mean what it plainly said. The D.C. Circuit maintains that this Court's holding regarding the tolling of backpay was intended only to eliminate the incentive for illegal aliens to illegally re-enter the United States. The majority reasons that, because the *Sure-Tan* discriminatees had left the country, that *Sure-Tan* stands for the proposition that only those undocumented workers who absent themselves from the country during the backpay period are ineligible for

backpay.[2] *Id.* at 642-44. Of course, this Court never expressed such a restriction and by imposing the previously unexpressed restriction as it did in this case, the D.C. Circuit obliterated *Sure-Tan's* controlling language. By limiting *Sure-Tan's* holding to those illegal aliens who leave the country, the majority construes the phrase, "not lawfully entitled to be present and employed," to read simply, "not present." The majority entirely disregards whether the alien's presence in this country is lawful or unlawful and ignores whether the alien is legally entitled to work.

To be sure, the *Sure-Tan* Court was concerned with deterring unauthorized immigration. To guard against illegal entry, the Court stated:

[2] In misconstruing *Sure-Tan* in this way, the D.C. Circuit merely followed the misguided lead of the Ninth and Second Circuits. In *Local 512, Warehouse & Office Workers' Union v. NLRB*, 795 F.2d 705 (9th Cir. 1986), the NLRB maintained that *Sure-Tan* prohibited backpay awards to those alien workers who, although physically present in the United States, could not demonstrate that they were lawfully present and entitled to work in this country. *See, supra* n. 5. In a split decision, the Ninth Circuit ignored the Board's reasonable reading of *Sure-Tan* and held that *Sure-Tan* barred backpay only to those undocumented workers who were unavailable for work during the backpay period because they were outside the United States. *Id.* at 717-19. The Second Circuit twice repeated the Ninth Circuit's errors. *Rios v. Enterprise Ass'n Steamfitters Local Union 638*, 860 F.2d 1168, 1173 (2d Cir. 1988) (undocumented aliens who failed to interrupt their illegal stay in this country awarded backpay under Title VII of the Civil Rights Act of 1964); *NLRB v. A.P.R.A. Fuel Oil Buyers Group, Inc.*, 134 F.2d 50, 55 (2d Cir. 1997) (reaffirming erroneous holding in *Rios* that *Sure-Tan* applies only to undocumented aliens who leave the country during the backpay period).

> "[A]s the Court of Appeals recognized, the implementation of the Board's traditional remedies at the compliance proceedings must be conditioned upon the employees' legal readmittance to the United States. In devising remedies for unfair labor practices, the Board is obliged to take into account another 'equally important Congressional objective' – to wit, the objective of deterring unauthorized immigration that is embodied in the INA. By conditioning the offers of reinstatement on the employees' legal reentry, a potential conflict with the INA is thus avoided."

467 U.S. at 902-03.

It is unsurprising that the Court focused on legal reentry as a prerequisite to reinstatement, however. Without legal reentry, the Sure-Tan employees who had left the country could not be lawfully reinstated.

However, the Court's discussion regarding backpay was not so narrowly constrained. The Court stated:

> "Similarly, in computing backpay, the employees must be deemed 'unavailable' for work (and the accrual of backpay therefore tolled) during any period when they were not lawfully entitled to be present and employed in the United States."

Id. at 903.

Nowhere does the Supreme Court expressly state that the backpay portion of its decision applies only to those illegal aliens who depart the country. Instead, the Court's holding sweeps more broadly and denies backpay not only to those illegal aliens who are not present in the United States, but also to those who, like Castro, are not legally present or legally entitled to be employed in the United States.

Even the majority has difficulty reconciling *Sure-Tan's* broad language with its narrow interpretation:

> "It is true, as Hoffman points out, that the words 'not lawfully entitled to be present and employed' sweep more broadly than necessary to deter undocumented discriminatees from reentering the country illegally."

237 F.3d. at 644.

Once again however, the majority elects to disregard *Sure-Tan's* plain language because, in the majority's opinion, to do otherwise would "conflict[] with other language ... making it clear that undocumented discriminatees are in fact entitled to backpay." *Id.*

The "other language" from *Sure-Tan* that the majority seizes upon is as follows:

> "We generally approve the Board's original course of action in this case by which it ordered the conventional remedy of reinstatement with backpay, leaving until the compliance proceedings more specific calculations

> as to the amounts of backpay, if any, due these employees."

Id. (citing 467 U.S. at 902).

However, this Court's general approval of the Board's traditional remedies is not at odds with the backpay limitation that it imposed in *Sure-Tan.* As Judge Sentelle points out in his dissent, this Court's general acceptance of these remedies "no more compels us to uphold a backpay award to an employee not lawfully entitled to employment than it compels us to uphold illegal reinstatement of the same employee." 237 F.3d. at 653.

Nor is the entitlement to a compliance proceeding somehow inconsistent with *Sure-Tan's* backpay prohibition. The Supreme Court in *Sure-Tan* remanded the case to the NLRB to determine "whether any of the discharged employees will be able...to establish at the compliance proceedings that they were lawfully available for employment during the backpay period." 467 U.S. at 904, 906. In so doing, the Court recognized that the discharged employees would likely not be able to establish any entitlement to backpay at the compliance hearing. Indeed, the Court stated, "[t]he probable unavailability of the Act's more effective remedies in light of the practical workings of the immigration laws, however, simply cannot justify the judicial arrogation of remedial authority not fairly encompassed within the Act." *Id.* at 904. Thus, a compliance proceeding is no guarantee to backpay, but simply a procedural step that must occur before backpay, if any, is awarded.

As demonstrated, the D.C. Circuit went astray at every step in its analysis of *Sure-Tan* and its application of

Sure-Tan to the instant case. Reversal by this Court is required to remedy these errors.

C. The *Hoffman* Dissenters Correctly Applied *Sure-Tan* and Appropriately Harmonized the NLRA with the Immigration Laws

Unlike the strained interpretation of *Sure-Tan* offered by the D.C. Circuit majority, the dissent advocates the more straight-forward and logical approach. Writing for the dissent, Judge Sentelle focused on the plain meaning of this Court's holding in *Sure-Tan*:

> "[T]he Supreme Court has made clear the state of the law: 'employees must be deemed 'unavailable' for work (and the accrual of backpay therefore tolled) during any period when they were not lawfully entitled to be present and employed in the United States.' Read in context, read out of context, or read both ways and compared, the majority is left with no way of dealing with the High Court's plain statement. I invite the reader to review the phrase, 'not lawfully entitled to be present and employed' in its original context. I further suggest that contextual illumination for this sentence of the High Court's opinion is supplied in the Court's analysis of the Seventh Circuit opinion that it was reversing. The High Court described that decision as 'recognizing that the discharged employees would most likely not have been lawfully available for employment and so *would receive no backpay award at all* ...." *Sure-Tan*, 467 U.S. at 890 (emphasis added). Thus, the governing factor in determining eligibility for backpay awards is not mere presence, but also the lawful entitlement to be present and to be employed."

Hoffman Plastic Compounds, Inc., 237 F.3d at 655.

By urging the conditioning of backpay on legal presence and legal authorization to work, the dissent respects this Court's holding in *Sure-Tan* and appropriately harmonizes the NLRA with the immigration laws. As this Court has stated, undocumented aliens who are subjected to a violation of the NLRA are treated as "employees" under the Act and, therefore, may be protected from further violations of the Act by a cease and desist order, such as the one in place in this case.[8] Thus, the objectives of the NLRA are satisfied. By refusing to award backpay to an undocumented alien who illegally entered this country and unlawfully obtained employment through the use of fraudulent immigration documents, the dissent also respects a primary goal of the immigration laws—deterring unauthorized immigration.

The Seventh Circuit approved of this approach in *Del Rey Tortilleria v. NLRB*, 976 F.2d 1115 (7th Cir. 1992). There, the Seventh Circuit was presented with the same issue confronted by the D.C. Circuit here—whether an undocumented alien who remains in the United States is ineligible for backpay under the NLRA by virtue of his undocumented status. The Seventh Circuit correctly held that such undocumented aliens are not entitled to backpay as a matter of law. After analyzing the *Sure-Tan* opinion at length, the Seventh Circuit held that *Sure-Tan* barred undocumented aliens from receiving backpay regardless of

[8] *Sure-Tan*, 467 U.S. at 891-94 (extending coverage of NLRA to undocumented aliens), 898, n.8 (noting that a cease and desist order was imposed by the NLRB in *Sure-Tan* and that violation of the cease and desist order would subject Sure-Tan to contempt sanctions).

their physical presence in the United States during the backpay period:

> "The [*Sure-Tan*] Court seemed to determine that the policy behind the INA—'the objective of deterring unauthorized immigration'—required the employees to show that they were lawfully available for employment during the backpay period. Otherwise, undocumented aliens would be rewarded by the NLRB for entering the United States illegally."

Id. at 1119.

The dissent's approach in this case also was embraced by the sole dissenting judge in *Local 512 Warehouse & Office Workers' Union v. NLRB,* 795 F.2d 705 (9th Cir. 1986). In *Local 512,* Judge Beezer strenuously objected to the Ninth Circuit's disregard of *Sure-Tan,* stating:

> "[The *Sure-Tan* Court's] reference to 'legal availability for work' and the query as to whether the aliens were 'lawfully available for employment' ... confirms the Court's intent that legal immigration status be a crucial relevant factor in determining whether backpay is tolled. *The essence of the Court's ruling is that an alien worker is entitled to backpay for a lay-off or discharge in violation of the labor laws only when that alien has been legally present in the United States and authorized by the government to obtain employment during the backpay period.*
>
> ...

> The unstated premise behind this holding appears to be that an undocumented alien has not been legally harmed by a lay-off or termination. *An alien who had no right to be present in this country at all, and consequently no right to employment, has not been harmed in a legal sense by the deprivation of employment to which he had no entitlement.* It may promote the purpose of the NLRA to guarantee the collective bargaining rights of the NLRA to every employee, regardless of immigration status. But the award provisions of the NLRA are remedial, not punitive, in nature, and thus should be awarded only to those individuals who have truly suffered harm. Undocumented aliens, who often enter into the United States without inspection in violation of federal criminal law, are not harmed by removal from employment they could obtain only after such an unlawful entry and can retain only through continued unlawful presence."

795 F.2d at 724, 725-26 (J. Beezer, dissenting)(emphasis added).

This Court has spoken with regard to whether an undocumented alien is entitled to backpay under the NLRA. In *Sure-Tan,* this Court stated that an undocumented alien "must be deemed 'unavailable' for work (and the accrual of backpay therefore tolled) during any period when the [employee was] not lawfully entitled to be present and employed in the United States." Thus, despite the *Hoffman* majority's attempts to confuse the issue by taking *Sure-Tan*

out of context, the resolution of this case is really quite simple. Castro never was lawfully present during the backpay period and he never was lawfully entitled to work during the backpay period. Consequently, he was not entitled to backpay under *Sure-Tan* and the decision of the D.C. Circuit must be reversed.

II. The Immigration Laws Prohibit An Award of Backpay to Castro

A. IRCA and the INA

In 1986, Congress enacted the Immigration Reform and Control Act ("IRCA") to control illegal immigration to the United States. H.R. Rep. No. 99-682 (I), 99th Cong., 2d Sess. 45, *reprinted in* 6 U.S.S.C.A.N. 5649, 5649-50. IRCA sets forth a comprehensive employer verification system. 8 U.S.C. § 1324a. It is the goal of this system to deny employment to undocumented aliens, thus depriving them of the incentive to illegally enter the United States. To enforce this verification system, IRCA makes it unlawful for any employer to knowingly hire or continue to employ an unauthorized alien. 8 U.S.C. § 1324a(a)(1)-(2). Because Congress recognized that the employer verification system would very likely result in the increased manufacture and use of fraudulent immigration documents, IRCA also makes it unlawful for any person to obtain employment by presenting documentation that falsely represents his immigration status, 8 U.S.C. § 1324c(a), and makes it a crime to use an identification document "knowing that the document was not issued lawfully for the use of the possessor, [or] ... that the document is false." 18 U.S.C. § 1546(b).

"IRCA effected a monumental change in our country's immigration policy by criminalizing the hiring of

unauthorized aliens." *Egbuna v. Time-Life Libraries, Inc.*, 153 F.3d 184, 188 (4th Cir. 1998), *cert. denied*, 525 U.S. 1142 (1999).[2] Even those courts that improperly applied *Sure-Tan* recognized that IRCA would impact future awards of backpay to undocumented workers. *EEOC v. Hacienda Hotel*, 881 F.2d 1504, 1517 n.11 (9th Cir. 1989) ("it may well be that this recent legislation changes the mix of policy considerations underlying the case law which supports our conclusion that undocumented employees may recover back pay ...."); *Rios v. Enterprise Ass'n Steamfitters Local Union 638*, 860 F.2d 1168, 1172 n.2 (2d Cir. 1988) ("We recognize that the law in this area has changed with the passage of the Immigration Reform and Control Act of 1986").

Indeed, the Board itself acknowledged that IRCA would curtail backpay to undocumented aliens. During oral argument in *Sure-Tan*, Mr. Kneedler, who represented the Board, had the following exchange with the Court:

> "QUESTION: There is legislation pending in Congress to make it illegal, to make it an unlawful act, a crime to hire an undocumented alien. Suppose that legislation passed. Would the board or anybody else be entitled to make a remedy that would give back pay?
>
> MR. KNEEDLER: Oh, I would certainly think not.
>
> QUESTION: Not if they pass that legislation.

2 *See also, Del Rey Tortilleria, Inc. v. NLRB*, 976 F.2d 1115, 1122 (7th Cir. 1992)("Section 274A of IRCA, 8 U.S.C. § 1324a(a), makes it unlawful for an employer to hire an undocumented alien; and thus, clearly bars the Board from awarding backpay to undocumented aliens wrongfully discharged after IRCA's enactment").

> MR. KNEEDLER: No, if the employment – in no circumstances. *The employment relationship would then become illegal, and for the board to order the reinstatement of the employee to an illegal relationship and to pay him inconsistent with such a statute would clearly be improper ....*"

Oral Argument in *Sure-Tan v. NLRB* (December 6, 1983), 1983 U.S. Trans LEXIS 5, *47-*48 (emphasis added).

B. The Court of Appeals Improperly Deferred to the NLRB

Despite the Board's prior acknowledgment that an award of backpay to an undocumented alien would condone an illegal relationship and "would clearly be improper" under IRCA, the Board awarded more than four years of backpay to Castro. Not only did Castro enter this country illegally, but he also illegally obtained employment at Hoffman by presenting fraudulent documentation. Because Castro's illegal acts implicated this country's immigration laws, the NLRB was required to tailor its remedy to avoid any conflict between the NLRA and the INA and IRCA. *Sure-Tan*, 467 U.S. at 903 ("In devising remedies for unfair labor practices, the Board is obliged to take into account another 'equally important Congressional objective' – to wit, the objective of deterring unauthorized immigration that is embodied in the INA."). By awarding backpay to Castro, the NLRB failed to properly account for the objectives of the immigration laws. The D.C. Circuit failed to correct this error when it affirmed the NLRB's backpay award.

The D.C. Circuit justified its failure to correct the Board's error by deferring to the judgment of the NLRB. In considering the potential policy conflicts between the NLRA

and the immigration laws, the D.C. Circuit dodged the issue, stating, "we need not resolve these policy questions, for it is the Board that possesses expertise in this area and it is to the Board that we owe deference." 237 F.3d at 647. According to the court, the Board resolved the policy question by granting backpay to Castro because, in the Board's view, denying undocumented workers remedies for retaliation would chill participation in union activities. *Id.* at 648. The D.C. Circuit then deferred to this position because, in the majority's opinion, "Hoffman provide[d] no reason for believing that the Board's position on this issue represents an unreasonable interpretation of the NLRA." *Id.*

The Board was not entitled to the court's deference, however. Because the Board has no authority to interpret or apply the immigration laws, its decisions regarding such issues are entitled to no deference whatsoever. *Bevles Co. v. Teamsters Local 986*, 791 F.2d 1391, 1393 n.3 (9th Cir. 1986), *cert. denied*, 484 U.S. 985 (1987). The question before the D.C. Circuit was not whether the Board's position represented a "reasonable interpretation" of the NLRA, but whether the Board's remedy avoided a potential conflict with the immigration laws. *Sure-Tan*, 467 U.S. at 903; *see also, NLRB v. A.P.R.A. Fuel Oil Buyers Group, Inc.*, 134 F.3d 50, 59-60 (2d Cir. 1997) (J. Jacobs, dissenting) (rejecting the majority's view that the Board reconciled the NLRA and IRCA in a "reasonable way" as too deferential a standard and stating that "the proper question is whether the Board's remedy is tailored to avoid any conflict between the NLRA and the requirements of another federal legislative scheme."). Because the Board's remedy created a real conflict between the labor laws and the immigration laws, the D.C. Circuit should have reversed the Board's backpay award.

C. The D.C. Circuit Erred by Failing to Resolve the Conflict Between the NLRA and the Immigration Laws Created by the NLRB's Improper Backpay Award To Castro

By improperly deferring to the Board, the D.C. Circuit preserved the conflict between the labor laws and the immigration laws that the Board created by awarding backpay to Castro. Instead of resolving this conflict, the D.C. Circuit overlooked it, stating that nothing in IRCA expressly prohibits an award of backpay to an undocumented worker. 237 F.3d at 646. What the D.C. Circuit disregarded, however, is that the immigration laws made Castro's employment unlawful.

The INA makes the unauthorized entry into this country illegal. 8 U.S.C. § 1325(a). IRCA makes it illegal for employers to hire undocumented workers. 8 U.S.C. §1324a. Further, IRCA strives to control illegal immigration by making it illegal for undocumented aliens to obtain employment through the use of fraudulent immigration documents. 18 U.S.C. § 1546; 8 U.S.C. § 1324c. Castro violated these immigration laws by unlawfully entering this country and by presenting Hoffman with fraudulent immigration documents to prevent the detection of his illegal status, which would have precluded his lawful employment. The Board and the D.C. Circuit acknowledge that undocumented aliens who leave this country, as they should, may be deprived of backpay. However, the Board and the D.C. Circuit contend that those undocumented aliens, like Castro, who illegally remain in this country are somehow entitled to more preferential treatment in the form of backpay. This decision creates a perverse set of incentives. It rewards illegal entry, rewards the use of fraudulent immigration documents, penalizes voluntary departure from

the country, and encourages undocumented aliens to extend their illegal stay. In this case, the Board's award of backpay to Castro also had the unfortunate effect of either: (1) excusing Castro's failure to mitigate[10] his damages because he could not legally obtain employment; or (2) sanctioning the perpetration of a fraud by Castro on yet another unsuspecting employer to satisfy his mitigation obligation.

As demonstrated, instead of fairly considering the policies of the immigration laws, the Board completely disregarded them by awarding backpay to Castro. And, by approving the Board's improper backpay award, the D.C. Circuit "solicitously preserve[d] and reinforce[d] the economic incentives for employers to comply with the labor laws, but d[id] so without full appreciation of or equal effort to promote the economic incentives to obey the immigration laws[; t]hus [allowing] the labor law dog [to] wag[] the immigration law tail." *NLRB v. A.P.R.A. Fuel Oil Buyers Group, Inc.*, 134 F.3d at 60 (J. Jacobs, dissenting).

The D.C. Circuit defends its action by pointing to IRCA's legislative history, which the majority contends offers support for the Board's backpay award. This legislative history, a House Judiciary Committee report, states that IRCA's employer sanctions provisions are not intended to:

> "be used to undermine or diminish in any way labor protections in existing

[10] To obtain an award of backpay for a violation of the NLRA, an employee must mitigate his damages by obtaining comparable employment. *Phelps Dodge Corp. v. NLRB*, 313 U.S. 177, 198-200 (1941); *Tubari, Ltd. v. NLRB*, 959 F.2d 451, 453-54 (3rd Cir. 1992).

law, or to limit the powers of federal or state labor relations boards, labor standards agencies, or labor arbitrators to remedy unfair practices committed against undocumented employees for exercising their rights before such agencies or for engaging in activities protected by existing law. In particular, the employer sanctions provisions are not intended to limit in any way the scope of the term 'employee' in Section 2(3) of the [NLRA], as amended, or of the rights and protections stated in Sections 7 and 8 of that Act. As the Supreme Court observed in Sure-Tan, Inc. v. NLRB, 467 U.S. 883 (1984), application of the NLRA 'helps to assure that the wages and employment conditions of lawful residents are not adversely affected by the competition of illegal alien employees who are not subject to the standard terms of employment.'"

H.R. Rep. 99-682, pt.1, at 58 (1986), *reprinted in* 6 U.S.S.C.A.N. 5649, 5662.

As this Court held in *West Virginia University Hospitals, Inc. v. Casey*, 499 U.S. 83, 98 (1991) (superceded on other grounds by statute), where the language of a statute is clear, "we do not permit it to be expanded or contracted by the statements of individual legislators or committees during the course of the enactment process." *See also, Circuit City Stores, Inc. v. Adams*, 532 U.S. 105, 121 S. Ct. 1302, 1311 (2001) ("Legislative history is problematic even when the

attempt is to draw inferences from the intent of duly appointed committees of the Congress."). Nothing about IRCA's application to this case is ambiguous and, therefore, there is no need to consult IRCA's legislative history.

Additionally, even if the legislative statement referenced by the majority were relevant, this statement falls far short of delivering any sort of backpay guarantee. As the Seventh Circuit found in *Del Rey Tortilleria v. NLRB*:

> "th[is] Committee Report merely endorses the first holding of *Sure-Tan* that undocumented aliens are employees within the meaning of the NLRA. The Committee did not disapprove of the part of the decision holding that undocumented aliens are entitled to receive backpay only for those periods when they are lawfully entitled to be present and employed in the United States. The Committee's preference that existing law be preserved can be read as support for the remedial holding of *Sure-Tan*. We do not believe that Congress, in passing IRCA, expressed its dissatisfaction with *Sure-Tan's* remedial holding."

976 F.2d at 1121.

Under IRCA, it is beyond dispute that the employment of an undocumented alien is illegal. It also is beyond dispute that an undocumented worker who furnishes a fraudulent immigration document to obtain

employment has committed a criminal act. Such undocumented workers are not "lawfully available for employment" and, thus, not eligible for an award of backpay. By holding otherwise, the D.C. Circuit created a direct conflict between the immigration laws and the NLRA. Reversal by this Court is required to resolve the conflict.

CONCLUSION

In *Sure-Tan*, this Court stated that backpay must be "tolled" during "any period when the undocumented worker [is] not lawfully entitled to be legally present and employed in the United States." At no time during the backpay period elucidated by the NLRB in this case was Jose Castro ever legally present in the United States or legally entitled to work in this country. Accordingly, under *Sure-Tan*, Castro was entitled to no backpay.

The D.C. Circuit erred in approving the Board's backpay order for Castro. The D.C. Circuit's approval of the backpay award disregards this Court's holding in *Sure-Tan* and conflicts with this country's immigration laws. For all of the reasons stated herein, Hoffman respectfully requests that this Court reverse the decision of the D.C. Circuit and deny backpay to Jose Castro.

Respectfully submitted,

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29 U.S.C. § 160. Prevention of unfair labor practices

....

(c) Reduction of testimony to writing; findings and orders of Board. The testimony taken by such member, agent, or agency or the Board shall be reduced to writing and filed with the Board. Thereafter, in its discretion, the Board upon notice may take further testimony or hear argument. If upon the preponderance of the testimony taken the Board shall be of the opinion that any person named in the complaint has engaged in or is engaging in any such unfair labor practice, then the Board shall state its findings of fact and shall issue and cause to be served on such person an order requiring such person to cease and desist from such unfair labor practice, and to take such affirmative action including reinstatement of employees with or without back pay, as will effectuate the policies of this subchapter: Provided, That where an order directs reinstatement of an employee, back pay may be required of the employer or labor organization, as the case may be, responsible for the discrimination suffered by him: And provided further, That in determining whether a complaint shall issue alleging a violation of subsection (a)(1) or (a)(2) of section 158 of this title, and in deciding such cases, the same regulations and rules of decision shall apply irrespective of whether or not the labor organization affected is affiliated with a labor organization national or international in scope. Such order may further require such person to make reports from time to time showing the extent to which it has complied with the order. If upon the preponderance of the testimony taken the Board shall not be of the opinion that the person named in the complaint has engaged in or is engaging in any such unfair labor practice, then the Board shall state its findings of fact and shall issue an order dismissing the said complaint. No

order of the Board shall require the reinstatement of any individual as an employee who has been suspended or discharged, or the payment to him of any back pay, if such individual was suspended or discharged for cause. In case the evidence is presented before a member of the Board, or before an administrative law judge or judges thereof, such member, or such judge or judges as the case may be, shall issue and cause to be served on the parties to the proceeding a proposed report, together with a recommended order, which shall be filed with the Board, and if no exceptions are filed within twenty days after service thereof upon such parties, or within such further period as the Board may authorize, such recommended order shall become the order of the Board and become effective as therein prescribed.